

doing best. Avoid those in the middle range, though, for both market conditions.

Throwbacks. Throwbacks occur often, every two out of three trades, and it takes 12 days on average for the stock to return to the breakout price. After a throwback completes, the majority of the time, the stock resumes trending upward. That's especially true in bull markets with 81% starting to recover.

Gaps. A breakout day gap helps performance in both bull and bear markets. That finding agrees with market lore. And the thing is, I measured performance from the opening price the day *after* a gap occurred. Thus, you can buy after a gap appears and ride the stock for better performance (on average).

Table 63.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% up	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 45%, M 42%, H 49%	L 27%, M 22%, H 24%
Throwbacks occurrence	66%	66%
Average time to throwback peaks	5% in 6 days	8% in 6 days
Average time to throwback ends	12 days	12 days
Average rise for patterns with throwbacks	48%	25%
Average rise for patterns without throwbacks	48%	23%
Percentage price resumes trend	81%	69%
Performance with breakout day gap	49%	27%
Performance without breakout day gap	48%	24%
Average gap size	\$0.94	\$0.58